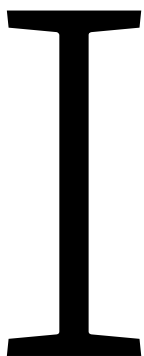




Taxing the Income of Charities

Two recent Supreme Court rulings are likely to lead to higher taxes for such institutions in the near future

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IT IS KNOWN that we need to give back to society if we want the upliftment of all. Indeed, high net-worth individuals the world over have been contributing significantly to philanthropic purposes. In India, corporate social responsibility has been made mandatory and most companies go beyond the minimum requirements of law. Tax laws generally provide that charitable organisations are not subject to taxation if they are recognised and fulfil certain conditions. A question then arises, when one is carrying on charitable activities such as running a hospital or providing education, and a charge is levied for such services, is the income arising from such charges taxable or not? Tax laws contain provisions that require organisations structured as charities to not be able to distribute any profits they make; instead, they need to invest the surplus cash in specified modes of investment such as government securities (G-secs).

These protections against profiteering notwithstanding, the taxability of income derived from the rendering of services in the course of carrying out charitable activities has been a subject matter of controversy.

The tax laws contain provisions for taxation of income of institutions like educational establishments and hospitals, whose income is exempt and a separate set of provisions for other charities such as relief of poverty and institutions that carry on activities of general public utility. Recently, the Supreme Court of India delivered two landmark and far-reaching judgments that will impact the taxability of both these categories of organisations.

Insofar as educational institutions are concerned, there are two conditions. First, these organisations should be set up “solely” for educational purposes; and, second, they should not carry on activities for the purposes of profit. Thus far, the Supreme Court had held

that the requirement of the objects of an organisation to be solely for educational purposes would be met if education was the pre-dominant purpose. The Supreme Court has now held in the case of *New Noble Education Society vs. Chief Commissioner of Income-tax* that the word ‘solely’ would mean that education should be the only purpose of such organisations. Such organisations could carry on incidental activities such as selling textbooks to students, providing hostel facilities to their own students or operate bus services for their students; beyond that, they cannot have any other objects. Again, the provision of these incidental services should only be to their own students. More important, the Supreme Court has implied that the motive of such organisations should not be to make profits. They may make profits in rendering their main or incidental objects, but they should largely provide education at or marginally above cost. If